

Shivalik Bimetal Controls Ltd (NSE: SBCL)

Electric Equipment | Metal Fabrication / Electronic Components | May 2026
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CMP	Market Cap	Revenue FY25	EBITDA Margin	ROE	Debt
₹601.25	~₹3,400 Cr	₹509 Cr	~22.10% 5-yr avg	30%+	Zero

1. Company Overview

Shivalik Bimetal Controls Ltd. (SBCL) specialises in manufacturing thermostatic bimetal strips, shunt resistors, and electron beam welded components. Key products include bimetal coils and springs, snap action discs, pre-soldered strips, and clad metals used in switchgear, energy meters, and automotive applications.

Core Products

- Thermostatic Bimetal Parts/Strips:** Bimetal and trimetal strips (coils, springs, and stamped parts) used in heat-sensitive components.
- Precision Shunt Resistors:** Electron beam welded resistors for smart meters, battery management, and automotive applications, featuring low temperature coefficient of resistance (TCR) and high power ratings.
- Snap Action Discs:** Thermostatic metal discs for temperature control and overload protection.
- Reflow Solder / Presoldered Strips:** Specialised strips designed to reduce labour and assembly costs.
- Precision Stainless Steel:** Specialised rolled steel for engineering applications.

Technologies & Capabilities

Joining methods: Diffusion bonding, cladding, electron beam welding, resistance welding, and continuous brazing.

The company is known for manufacturing snap action discs and electron beam welded shunts for high-capacity applications.

Applications

- Electrical & Electronics:** Switchgear, energy meters, and smart meters.
- Automotive:** Sensors, relays, and circuit protection devices.
- Industrial:** Thermal management and overload protection.

2. Competitive Advantages

High Switching Costs — Customer Stickiness

Shivalik's components are custom-designed into customers' products, resulting in a 4–5 year product approval cycle. Once integrated, customers rarely switch due to the critical nature of the components in switchgear, smart meters, and battery management systems.

Technical Expertise & Specialisation

The company possesses deep expertise in bimetals and electron beam welding technology. Shivalik is the only domestic company in India producing EBW shunts, with this 4–5 year qualification barrier reinforcing its competitive position against new entrants.

Market Leadership

Shivalik is the largest manufacturer of bimetal parts and shunt resistors in India, holding a dominant 85–90% domestic market share in the bimetal segment.

Early Mover in High-Growth Sectors

The company's established position in EV battery management and the smart meter supply chain gives it a meaningful first-mover advantage as both sectors scale.

Strong Financial Position

The company has a 30%+ Return on Equity (ROE) and has maintained strong, consistent operating margins at an effective average of 22.10% over the last five years — with zero debt on the balance sheet.

3. Growth Drivers

EV and Battery Management Systems (BMS)

As a leader in EBW shunt resistors, SBCL directly benefits from the rising adoption of electric vehicles, where their components are crucial for current measurement in battery packs.

Smart Meters and 5G Infrastructure

The surge in smart meter adoption — requiring localised relay manufacturing — and 5G tower deployment in Europe provides substantial and growing demand for SBCL's shunt products.

Capacity Expansion and Operational Efficiency

The company is expanding capacity to support future growth and has maintained strong operating margins. Current capacity utilisation leaves headroom for output growth without proportionate capital expenditure.

Enabling Policy Environment

The Government of India views the electrical equipment industry as a vital, strategic sector, targeting a goal of achieving **US\$ 100 billion in output**. Policy focus on **"Make in India,"** PLI schemes, mandatory BIS standards, and replacing import-preference procurement with quality-focused tenders directly benefits domestic manufacturers like SBCL. The government also aims to reduce reliance on imports and boost domestic value addition in electronics components — a structural tailwind for SBCL's business model.

4. Key Risks

Working Capital Deterioration

The FY23 annual report mentions a "notable reduction in working capital days" suggesting an improvement phase, but FY25 has reversed that entirely — Inventory Days stand at 184 and Net Working Capital Days at 217. The trend has gone backwards over the last two years with no sign of recovery yet. The company itself acknowledges this as a risk in its own risk section.

MD Pay Raise While Profits Fell

In FY23 and FY24, both executive directors drew identical pay of ₹3.21 Cr each with zero increase — promoters were restrained in those years. The 24.8% raise for Kabir Ghumman in FY25 is therefore a first-time occurrence, coinciding with the year profits dropped and with the family consolidating board control via the January 2025 EGM. Isolated incident so far, but worth monitoring.

CFO Has Taken Pay Cuts Two Consecutive Years

CFO Rajeev Ranjan received a +30.49% raise in FY23, then a -10.60% cut in FY24, and a further -8.19% cut in FY25. A professional CFO taking salary cuts for two consecutive years while the promoter-MD receives a raise in the same period is an unusual signal that warrants ongoing monitoring.

Related Party Transactions — Declining but Significant

RPT as a percentage of total purchases has been: **13.87% in FY23 → 10.01% in FY24 → 8.18% in FY25**. The trend is improving, which is a positive. However, 8–14% of purchases flowing to related parties across three consecutive years is not negligible and deserves continued scrutiny.

5. Valuation & Conclusion

EV/EBITDA is the more appropriate valuation lens here than a simple P/E ratio. The calculation is as follows:

Market Cap (CMP ₹601.25)	~₹3,400 Cr
Debt	Zero
Cash on Balance Sheet	~₹60 Cr (FY25 estimate)
Enterprise Value (EV)	~₹3,340 Cr
Revenue FY25	₹509 Cr
EBITDA Margin	~22%
EBITDA FY25	~₹112 Cr
EV / EBITDA (Trailing)	~30x
Typical range — quality small-cap mfg.	15–20x EV/EBITDA
Fair range — monopoly-like position	22–25x EV/EBITDA

At ~30x EV/EBITDA, SBCL trades at a **meaningful premium** to the 15–20x range typical for quality small-cap Indian manufacturers, and above the 22–25x that would be considered fair for a business with a monopoly-like market position.

This premium is not irrational. SBCL's 85–90% domestic market share, zero debt, 30%+ ROE, consistent margins, and structural positioning across EVs, smart meters, and 5G represent a quality that commands a premium in the market. The investment case here is not a **"cheap stock"** — it is a high-quality manufacturer with meaningful barriers to entry, available at a fair price, with a long growth runway still ahead.

Conclusion: For a long-term, conviction-based investor, Shivalik Bimetal Controls offers a durable competitive position, multiple converging structural tailwinds, and a financially clean balance sheet. The risks — primarily working capital deterioration and family governance concentration — are real and should be monitored, but they do not undermine the core investment thesis. I initiate coverage with a positive long-term view.